

Amendment No. 1 to HB0725

Crawford
Signature of Sponsor

AMEND Senate Bill No. 815

House Bill No. 725*

by deleting all language after the enacting clause and substituting:

SECTION 1. Tennessee Code Annotated, Section 7-40-103(5)(A), is amended by deleting the language "thirty-five-year" and substituting instead "time".

SECTION 2. Tennessee Code Annotated, Section 7-40-103(5)(A), is amended by adding the following language to the end of the subdivision:

and all costs incurred by a municipality or industrial development corporation relating to the development of a project on public property adjacent to the district;

SECTION 3. Tennessee Code Annotated, Section 7-40-103(6)(B)(iv), is amended by deleting the language "thirty-five-year" and substituting instead "time".

SECTION 4. Tennessee Code Annotated, Section 7-40-103(10), is amended by deleting "fifteen (15) years" and substituting instead "twenty (20) years".

SECTION 5. Tennessee Code Annotated, Section 7-40-104(d), is amended by deleting the language "expiration of thirty-five (35) years" and substituting instead the language "close of the state's fiscal year ending June 30, 2052" and deleting the language "thirty-five-year".

SECTION 6. Tennessee Code Annotated, Section 7-40-104, is amended by adding the following new subsection (h):

(h) For purposes of providing financial assistance relative to the cost of a project pursuant to a development agreement executed between a private developer and a municipality or industrial development board on or after July 1, 2026, the minimum aggregate cost of the private project pursuant to such agreement requires an amount not

less than two million dollars (\$2,000,000) to be invested by the developer during the investment period.

SECTION 7. Tennessee Code Annotated, Section 7-40-106(b), is amended by deleting the subsection and substituting the following:

(b)

(1) The following conditions apply to the sales and use tax transferred to the municipality as provided in this chapter:

(A) For the period after certification of the district under § 7-40-104(a) and continuing through the close of the state's fiscal year ending June 30, 2047, the apportionment and distribution of such taxes collected in the entire district must be for the exclusive use of the municipality or the industrial development corporation formally designated by the municipality for payment of costs of public and private economic development projects, including projects on public property adjacent to the district; and

(B) For the period from the state's fiscal year beginning July 1, 2047, and continuing through the close of the state's fiscal year ending June 30, 2052, the apportionment and distribution of such taxes collected in the entire district shall be for the exclusive use of the municipality or the industrial development corporation formally designated by the municipality; provided, however, that one-half (1/2) of the annual total apportioned and distributed must be used exclusively for the payment of costs of public economic development projects, tourism facilities, or related public improvements constructed or renovated in connection therewith including projects on public property adjacent to the district, and the remaining one-half (1/2) must be the maximum aggregate amount available for the payment of costs of a private economic development

project pursuant to the terms of a development agreement executed under this chapter and any percentage formula otherwise applicable to a private economic development project must be applied to that one-half (1/2) only, notwithstanding this chapter or any development agreement to the contrary.

(2) Notwithstanding this subsection (b) to the contrary, the apportionment and distribution of such taxes terminates prior to the expiration of the time periods set forth in this subsection (b) if all of the costs of the economic development project, including any principal and interest on indebtedness, including refunding indebtedness of the municipality or industrial development corporation related to the development of the project have been fully paid. Following the expiration of the time periods set forth in this subsection (b), or upon the date on which such costs have been fully paid, whichever is sooner, all amounts that would have otherwise been distributed to the municipality or retained in lieu of distribution must be allocated as provided elsewhere without regard to this chapter.

SECTION 8. Tennessee Code Annotated, Section 7-40-106(c), is amended by deleting the first sentence.

SECTION 9. Tennessee Code Annotated, Section 7-40-112, is amended by deleting the second sentence.

SECTION 10. If any provision of this act or its application to any person or circumstance is held invalid, then the invalidity does not affect other provisions or applications of the act that can be given effect without the invalid provision or application, and to that end, the provisions of this act are severable.

SECTION 11. This act takes effect upon becoming a law, the public welfare requiring it.